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Li Auto Inc. | Asia Pacific

New L6 – Same badge, next-level experience

Key Takeaways

- Li Auto launched the new L6 with a single trim priced at Rmb249.8k, which offers one of the most compelling value propositions in the five-seat SUV segment.
- We believe the stronger feature set and price offering should broaden the L6's appeal to young families and reinforce its competitiveness in 5-seat SUVs.
- While competing with Tesla Model Y, Xiaomi YU7 and ONVO L80 in the Rmb250-300k segment, we expect L6's run rate to surpass 10k units over the coming months.
- L6 and L8/L9 should support sequential delivery growth from July onward, bringing Li Auto's overall deliveries back to YoY growth in 3Q26.

Li Auto launched the new L6 with a single trim priced at Rmb249.8k, matching the entry-level price of the 2025 model despite offering a refreshed exterior design and substantial hardware upgrades. Delivery will commence within a week. Key enhancements include a larger 51kWh battery that extends battery range from 212km to 300km, 5C fast charging that reduces charging time to 12 minutes, and the M100 chip (1,280 TOPS), all aiming to address shortcomings of the previous generation. The facelift also introduces the Snapdragon 8797 cockpit chip, a 29-inch 6K display with AR-HUD, new all-aluminium suspension system, bringing in-cabin and driving experience to the next level.

We expect the refreshed L6 to meaningfully improve sales momentum, with monthly deliveries recovering from an average of 5k units in 1H26 to 10k over the coming months. The stronger L6 contribution, together with L8/L9, should support sequential delivery growth from July onward, bringing Li Auto's overall deliveries back to YoY growth in 3Q26.

Exhibit 1: L6 vs. competitors

	Li Auto L6	Onvo L80	Xiaomi YU7	Tesla Model Y	ZEEKR 7X	NIO ES6	AITO M8	NIO SS ES8
Wheelbase (mm)	2,920	3,110	3,000	2,890	2,925	2,915	3,105	3,130
Power	EREV	BEV	BEV	BEV	BEV	BEV	EREV	BEV
Type	SUV	SUV	SUV	SUV	SUV	SUV	SUV	SUV
Lidar (unit)	1-4	0-1	1	0	1	1	2-4	3
AD chip	M100	Shenji NX9031	Thor	AI 4	Thor U	Shenji NX9031	Huawei	Shenji NX9031
Battery range (CLTC, km)	300	570-615	760-835	593-719	620-802	650	201-310	655
Price (Rmb k)	249.8	243-280	254-330	264-314	230-270	338	360-460	383-423

Source: Yiche, Morgan Stanley Research

MORGAN STANLEY ASIA LIMITED+

Tim Hsiao	
Equity Analyst	
Tim.Hsiao@morganstanley.com	+852 2848-1982
Peggy Wang	
Research Associate	
Peggy.Pc.Wang@morganstanley.com	+852 3963-3934
Shelley Wang, CFA	
Equity Analyst	
Shelley.Wang@morganstanley.com	+852 3963-0047
Joey Xu, CFA	
Equity Analyst	
Joey.Xu@morganstanley.com	+852 3963-0337



Li Auto Inc. (2015.HK, 2015 HK)

ADRLI.O	
China Autos & Shared Mobility China	
Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$78.50
Shr price, close (Jul 16, 2026)	HK\$48.64
52-Week Range	HK\$128.10-45.26
Sh out, dil, curr (mn)	2,015
Mkt cap, curr (mn)	Rmb84,619.9
EV, curr (mn)	Rmb(7,735.0)
Avg daily trading value (mn)	HK\$1,138

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Valuation Methodology and Risks

Li Auto Inc. (2015.HK)

Probability-weighted DCF methodology. Derived from our ADR price target, and applying a HKD/USD exchange rate of 7.8. Weightings for our bull/base/bear case scenarios are 25%/50%/25% - the bull/bear weighting reflects the potential for the macro outlook to improve/weaken and for sector competition to lessen/worsen. Key base case assumptions: WACC 15.9%, beta 2.1, long-term growth 3%.

Risks to Upside

- More rapid sales volume ramp-up of L series and, therefore, better-than-expected margins.
- Volume growth from BEV models.
- Faster-than-expected AD development.

Risks to Downside

- Unexpected disruption owing to component bottleneck.
- Delayed model launches.
- Moderating auto sales growth.

Li Auto Inc. (LI.O)

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Risks to Upside

- More rapid sales volume ramp-up of L series and, therefore, better-than-expected margins.
- Volume growth from BEV models.
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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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Stock Price, Price Target and Rating History (See Rating Definitions)

Li Auto Inc. (2015.HK) - As of 07/16/26 GMT in HKD
Industry : China Autos & Shared Mobility



Stock Rating History: 11/16/21 : 0/A; 8/25/22 : 0/I

Price Target History: 11/16/21 : 189; 3/23/22 : 159; 7/8/22 : 209; 10/3/22 : 137; 11/3/22 : 91; 3/20/23 : 110; 5/12/23 : 155; 7/28/23 : 207; 1/8/24 : 246; 3/10/24 : 266; 3/25/24 : 233; 5/22/24 : 205; 8/7/24 : 111; 1/13/25 : 124; 5/28/25 : 139; 10/13/25 : 124; 12/8/25 : 100; 3/27/26 : 86; 5/11/26 : 83; 7/7/26 : 78.5

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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Li Auto Inc. (LI.O) - As of 07/16/26 GMT in USD
Industry : China Autos & Shared Mobility



Stock Rating History: 7/1/21 : 0/C; 9/1/21 : 0/A; 8/25/22 : 0/I

Price Target History: 3/26/21 : 39; 11/16/21 : 49; 3/23/22 : 41; 7/8/22 : 53; 10/3/22 : 35; 11/3/22 : 23; 3/20/23 : 30; 5/12/23 : 40; 7/28/23 : 53; 1/8/24 : 63; 3/10/24 : 74; 3/25/24 : 65; 5/22/24 : 53; 8/7/24 : 29; 1/13/25 : 32; 5/28/25 : 36; 10/13/25 : 32; 12/8/25 : 26; 3/27/26 : 22; 5/11/26 : 21.5; 7/7/26 : 20

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/16/2026)
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Joey Xu, CFA

Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb22.97
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.83
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$2.04
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.19
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.16
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.21
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb16.78
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb10.95
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb21.15
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.52
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$3.12
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb30.08

Shelley Wang, CFA

Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb67.72
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb23.76
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb90.55
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK\$0.52
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK\$1.00
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb24.16
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb53.00
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$54.40
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb85.93
Keboda (603786.SS)	O (01/17/2024)	Rmb41.27
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$27.94
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.23
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$4.03
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb20.95
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb54.47
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb11.21
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb67.80
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$13.71
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb41.83
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK\$4.63

Tim Hsiao

BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.79
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb94.14
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$90.95
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$5.47
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$19.39
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb15.89
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$8.81
Hesai Group (HSAI.O)	O (07/28/2025)	US\$15.85
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.61
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$12.73
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$50.40
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$40.44
NIO Inc. (NIO.N)	O (08/26/2020)	US\$5.03
WeRide Inc (WRD.O)	O (11/19/2024)	US\$6.18
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$56.55
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$13.78

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* Historical prices are not split adjusted.

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